BUSINESS PROCESS EXPLANATION

SACCO Loan Application Process

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Phase I - Business Process Modeling

1. Purpose

This document explains the Business Process Diagram for a SACCO Loan Application Process. It shows how a member requests a loan, how the SACCO checks the request, and how the loan is approved, disbursed, and repaid.

2. Actors

- *Member:* The SACCO member who wants a loan.
- *Loan Officer:* The staff who receives, verifies and processes the application.
- *Loan Committee / Manager:* The authority who approves the loan.
- *System:* Used to record, track and store the application.

3. Process Flow - Step by Step

Step 1 - Member: Fill Loan Application

The member starts the process and fills the loan application form with personal details, loan amount, purpose, and repayment period.

Step 2 - Member: Submit Application

The member submits the completed application with required documents, for example ID, payslip, and guarantors.

Step 3 - Loan Officer: Receive Application

The Loan Officer receives the application and records it in the system.*Step 4 - Loan Officer: Verify Documents*

The Loan Officer checks if all documents are complete and correct.

Step 5 - Loan Officer: Check Eligibility

The Loan Officer checks if the member is eligible: active membership, savings history, existing loans, and ability to repay.

Step 6 - Decision: Eligible?

- *If NO:* The application is rejected. The member is informed of the reason, and the process ends.

- *If YES:* The application moves to approval.

Step 7 - Approve Loan

The Loan Committee / Manager reviews and approves the loan amount and terms.

Step 8 - Disburse Loan

The approved loan amount is disbursed to the member's account.

Step 9 - Repay Loan

The member repays the loan in installments according to the agreed schedule until the loan is fully paid.

Step 10 - End

When the loan is fully repaid, the process ends and the record is closed.

4. Business Rules

1. Only active SACCO members can apply for a loan.

2. An application with incomplete documents cannot proceed.

3. A member with an unpaid loan may not be eligible for a new loan.

4. Approval is required before any disbursement.

5. Conclusion

This process ensures loans are given fairly, safely, and transparently. It reduces errors, saves time, and helps the SACCO track every loan from application to repayment.